Motherson Sumi Wiring India Ltd

Concall tracker, Q2 FY27 (filed under Q2-2027). India's biggest maker of car wiring harnesses, the bundles of wires that connect everything in a vehicle, selling mainly to Maruti Suzuki and other passenger-car makers. A Motherson and Sumitomo joint venture.

1. Snapshot

Number	Value	Plain read
Market cap	₹25,936 cr	A large company, worth roughly 2x its yearly sales.
Stock P/E	38	About 38 rupees per rupee of yearly profit. Pricey for a low-margin wiring business, though the return on capital is excellent.
Sales, last 12 months	₹13,683 cr	Growing fast: quarterly sales were up 47% in Q2 FY27. About 12 points of that is costlier copper passed on.
Net profit, last 12 months	₹685 cr	Profit grew slower than sales over the past year because of copper and wage costs.
Operating margin	9% (Q2 FY27: 9.2%)	Keeps about 9 rupees of every 100 as operating profit. Up from 7.6% last quarter, below the 10-11% of a year or two ago.
Return on capital (ROCE)	39%	Very high. It earns a lot on the money tied up because plants are cheap and customers pay on time.
Borrowings (Sep 2026)	₹296 cr	Tiny against profit.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY24	Feb 2024	Yes (skimmed)
Q4 FY24	May 2024	Yes (skimmed)
Q1 FY25	Aug 2024	Yes (skimmed)
Q2 FY25	Nov 2024	Yes
Q3 FY25	Feb 2025	Yes (skimmed)
Q4 FY25	May 2025	Yes
Q1 FY26	Aug 2025	Yes (skimmed)
Investor meet	5 Sep 2025	Yes (skimmed)
Q2 FY26	5 Nov 2025	Yes
Q3 FY26	30 Jan 2026	Yes
Q4 FY26	May 2026	Transcript not available on Screener or found on exchanges
Q1 FY27	4 Aug 2026	Yes
Q2 FY27	30 Oct 2026	Yes, read in full ★

Twelve calls across nearly three years. The Q4 FY26 (May 2026) transcript was missing from Screener and could not be found, so that quarter's commentary comes from the calls on either side.

Latest concall highlights: Q2 FY27 (30 Oct 2026)

- Sales up 47% on last year and 19% on last quarter. Stripping out copper, sales grew about 35% against 25% growth in passenger-vehicle volumes, so it's beating the industry.
- Operating margin recovered to 9.2% from 7.6% in Q1. Copper (up 54% in a year) and minimum wage hikes still bite; copper is passed on with about a three-month lag and wage costs are being negotiated.
- The three new greenfield plants (Kharkhauda, Gujarat, Pune) are now at 'optimal utilization' and are treated as regular plants. They broke even earlier in the year.
- EVs were 10% of revenue in the quarter, up from about 4% a year and a half ago.

- No guidance on margins or growth, as usual. Capex about ₹200 cr this year. H2 faces a higher base after last year's GST cut.

Business mix & capacity

Domestic vs export: almost all sales are in India to Indian car plants; exports aren't broken out. Customers are passenger-car makers, Maruti Suzuki the largest.

Capacity: greenfields now at optimal utilization. Stated policy is to expand once plants hit about 80%.

3. Earning trigger thesis

The trigger is simple and already showing up: three new plants built for new car programs, both petrol and electric, have filled up just as car demand jumped after the GST cut. More wiring per car (premium features, EVs) adds to it. What's held profit back is copper and wages, which management says it recovers from customers over three to six months.

Trigger	What management said	Evidence so far	Time horizon	Strength
Greenfield plants filling up	Plants built ahead of customer launches would ramp with programs	Utilization went from 36% (Nov 2025) to breakeven to 'optimal' (Oct 2026)	Done, now contributing	Strong. Visible in this quarter's sales jump
More content per car and EVs	Premium features and EV platforms carry more wiring	EV share 10% of revenue vs about 4% in FY25	Ongoing	Moderate. Zonal wiring in EVs is a debated risk
Cost pass-through	Copper and wage increases recovered with a lag	Margin back to 9.2% from 7.6%; wage talks ongoing	H2 FY27	Moderate

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not discussed; debt is small
New business	No	No new product line; growth is new car programs
Margin up	Yes	EBITDA margins at 9.2%, improving from 7.6% in Q1 (Oct 2026)
New management	No	Not mentioned
New capacity	Yes	Three greenfield plants 'now operating at an optimal utilization level' (Oct 2026)
Big orders	No	No order book disclosed
Turnaround	No	Not applicable
Promoter buying	No	Promoter stake flat at 61.7%

The single concrete driver: Three new wiring harness plants built for new car programs are now full, adding sales just as car demand jumped after the GST cut.

3c. Margin bridge

Margin is 9.2% this quarter, below about 10% a year ago but well up from 7.6% in Q1. Copper prices up 54% in a year are passed on with a three-month lag, and minimum wage hikes are still being negotiated with carmakers. The new plants, once loss-making, now break even. Management expects better numbers within the year as recoveries come in, but warns passing copper through keeps the margin percentage optically lower. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 (May 2024 call)	New plants operational in Q1 FY25, volume ramp by Q3/Q4	One plant's customer launch slipped; ramp took into FY26	Partly

FY26 (Nov 2024 call)	Kharkhauda plant on stream in Q1 FY26	Started and was first to reach optimal use	Delivered
FY26	Greenfields to break even as volumes come	Greenfield margin negative in Nov 2025; breakeven by Q4 FY26	Delivered (late)
FY26 (Jan 2026 call)	Some EV programs ramping slower than customer forecasts	Volumes below RFQ estimates, as warned	Delivered (honest warning)
Q1 to Q2 FY27	Recover copper and wage costs within the year	Margin up to 9.2%; wage talks still open	Too-early

Management doesn't give guidance, so there's little to hold them to. What they did say has stayed steady for three years: build plants ahead of customers, grow faster than car volumes, and treat copper as a pass-through. The greenfield ramp took longer than first hoped because customer launches slipped, and they were upfront about it. Tone is calm and a little dismissive of detailed margin questions.

5. Bottom line

Durable earning trigger? → YES

New capacity has turned into sales this quarter, the company is beating car industry growth, and EV share keeps rising. It depends on car demand holding up after the GST-cut boost.

Management consistent? → YES

Few promises, mostly kept. The plant ramp ran late on customer delays, not execution, and the company has kept a very high return on capital through it.

6. Checkpoints for next quarter

1. Operating margin holds above Q2 levels as copper costs are recovered
2. Wage cost increases get passed on to carmakers
3. Sales keep growing faster than passenger-car volumes in H2

This is not investment advice. Do your own due diligence.